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FURTHER CORRESPONDENCE

RESPECTING

CHINA

PART 6

January to December 1952

action would be tantamount to economic warfare against the Soviet *bloc* which we are not willing to contemplate. In any case the total number of Polish-controlled vessels engaged in the carriage of goods to China is only about fifteen.

(*f*) Of the ninety-seven British ships quoted as being engaged in China trade during September, October and November only eleven were ocean-going and of these ten sailed to China in ballast.

(*g*) As regards sale of ships to Communist countries, the Paris East-West Trade Group (which includes the Americans) agreed in November 1950 that member countries would not export ships over either 7,000 gross tons or 12 knots to Soviet *bloc* countries without prior consultation in the group. A British proposal to embargo such exports altogether was rejected. Since then no British dry-cargo ship over either limit has been sold to the Soviet *bloc* (except one 13½-knot 3,000-ton ship under the Anglo-Polish Trade Agreement) or, so far as we are aware, to buyers outside the Soviet *bloc* with subsequent resale to the Soviet *bloc*. All transfers of British ships to foreign owners are controlled by statute, and sales to possible intermediaries are closely watched, in particular sales to registers of convenience. The only case we have found of a resale of a ship over 7,000 tons or 12 knots was the sale in October, 1950, of the 7,100-ton 10-knot *Amelia Earhart* to a Panamanian company in Hong Kong, which was followed two months ago by a sale through another Panamanian company to Poland. One smaller ship, *London Statesman* (5,100 tons, 11 knots) had a similar history. We have no power to control sales of ships other than ships wholly owned by British subjects, *i.e.*, British ships.

(*h*) We do not agree with the American estimate that Communist China imported a minimum of 600,000 short tons per month by ship during 1951. Estimates can, of course, only be approximate but we believe the maximum to be 2,000–3,000 tons per month. Overland trade is therefore in our opinion much the more important.

(*i*) We do not believe that the cessation of imports, even if complete, from the free world could affect the course of Chinese military operations on the present scale in the short term. We agree that in the long term the civilian economy of China would suffer, and that the expansion of Chinese war potential would thereby be impeded, though no doubt great efforts would be made to supply the deficiency from the Soviet *bloc*. For your own confidential information we have reason to believe that the views of other United States intelligence authorities on China's vulnerability to a cessation of sea-borne trade do not necessarily accord with those of the naval staff who inspired the State Department's memorandum. We understand that the possibility of a joint fact-finding exercise is being considered by Elliott.

FJ 10310/31

No. 6

CONVERSATION BETWEEN THE SECRETARY OF STATE AND MR. ACHESON IN WASHINGTON ON 10th JANUARY, 1952

Japan's Relations with China

Present:

United Kingdom	*United States*
Secretary of State.	Mr. Acheson.
Sir Oliver Franks.	Mr. Dulles.
Mr. Shuckburgh.	Mr. Perkins.
Mr. Tomlinson.	Mr. Gifford.
	Mr. Allison.

Mr. Acheson invited Mr. Dulles to explain the American position.

Mr. Dulles said his consistent objective throughout his work on the Japanese Peace Treaty had been to ensure the fullest possible understanding and agreement between the United States and United Kingdom. He had had this objective very much in mind in

working out a solution to the difficult problem of China in relation to the Japanese Peace Treaty.

Speaking purely personally he thought that in their general policies towards China neither the United States nor the United Kingdom had yet found the right answer. He could not feel that either of the two countries would be satisfied to maintain their present policies indefinitely. It was perhaps, therefore, a mistake to think of Anglo-American relations in regard to China as though there were fixed positions on both sides Mr. Dulles then gave a detailed account of various discussions he had had with United Kingdom representatives and with members of the Japanese Government on the subject of Japan's relations with China. He recalled that when he originally suggested in June 1951 that neither China should attend the Japanese Peace Conference and that Japan should be left to regulate her own relations with China in whatever way she saw fit Mr. Attlee had objected to the proposal on the grounds that Japan would be certain to fall in line with the United States and enter into relations with the Chinese Nationalists. It was therefore clear that when the British Government eventually accepted Mr Dulles's proposal they did so in the knowledge that the final result would inevitably be that Japan would choose a course which would harmonise with the policies of the United States Government. Mr. Dulles had, in fact, resisted the views of certain Senators who felt that Japan should at once conclude a treaty with the Chinese Nationalists, and no final commitment would be made until after the multilateral treaty came into force. Whether the Chinese Nationalists would seek to make difficulties about arrangements with Japan limited to the area under their control remained to be seen. The Japanese might well have wished to follow United States policy and recognise Chiang as the Government of all China. Mr. Dulles had, however, recommended against this. He understood that there had been some feeling amongst the British that his activities in Japan were an infringement of the spirit of the Dulles–Morrison agreement. It had never been his understanding of this agreement that it would prevent Japan taking action which she deemed to be in her own interests. The facts of the present relationship between Japan and the United States were such that it was unthinkable that for some years to come the Japanese Government should pursue policies in conflict with those of the United States.

Mr. Dulles referred to the fact that he had now received a communication from the Japanese Prime Minister stating the intentions of the Japanese Government and that it would probably be necessary to make use of this during the Senate's consideration of the Peace Treaty with Japan. He felt that the action he had taken was the minimum necessary to lead to the desired result in the United States and at the same time retain the spirit of the Dulles–Morrison Agreement.

The Secretary of State said that he understood the American position. He had not, however, altered his own views and he could not agree that the course of action which the Americans felt compelled to pursue was wise in the circumstances. He still thought that the wisest course was that the Japanese Government should make no commitment until the coming into force of the multilateral treaty of peace. *Mr. Acheson* said that he would like to elaborate on some of the points made by Mr. Dulles. The Chinese Nationalists had some strong cards in their hands since there were certain Senators who were very responsive to any appeal by Chiang Kai-shek The votes of one-third of the Senate would be sufficient to obstruct the ratification of the Japanese Peace Treaty and unless at any rate some limited agreement between Japan and Formosa were under contemplation the Chinese Nationalists might be able to induce their Senatorial friends to advocate a course which would be embarrassing for us all. These Senators might press for postponement of ratification until the Senate could examine in detail the text of a proposed agreement between Japan and Formosa. This would be bad enough but it would be even more distressing if they succeeded in attaching conditions to ratification, with the result that ratification would not become operative until after the signature of a treaty between Japan and Formosa. This would not only be bad for the United States but would confront the other signatories with a difficult problem.

The Secretary of State said that he appreciated the domestic difficulties faced by the United States Administration. He adhered, however, to the view that it would have been better if nothing need have been done or said until after the coming into effect of the multilateral treaty. If he were questioned he would have to say that his view was unchanged, and that he had made this known to the Americans. He was, however, glad to know that in any case the Japanese would take no final action to conclude arrangements with China before the

coming into force of the Japanese Peace Treaty. It made some difference that no final action would be taken until the Japanese had recovered their full liberty of action. He did not wish this to become a major issue between our two countries and he thought this could be avoided. He must not, however, be regarded as having acquiesced in this development.

Mr. Acheson said that Sir E. Dening would unquestionably be asked by Mr. Yoshida about the outcome of the Washington conversations. He hoped that Sir E. Dening would be instructed to say that while still maintaining our view, we should not disagree if the Japanese wish to pursue discussions with Formosa on the lines recently discussed by Mr. Dulles in Tokyo. *Mr. Eden* said that this presented difficulties and the line proposed by Mr. Acheson was further than he was prepared to go.

After some discussion it was agreed that the United Kingdom would prepare a draft setting out the line Sir E. Dening might take in replying to any questions by Mr. Yoshida, which would be discussed with the Americans before despatch.

No. 7

SINO-JAPANESE RELATIONS

(1)

Sir E. Dening to Mr. Eden. (Received 16th January)

(No. 70) *Tokyo,*
(Telegraphic) *16th January, 1952.*

Special assistant to Japanese Vice-Minister for Foreign Affairs called on the Minister this morning and handed him a copy of a letter from the Japanese Prime Minister to Mr. Dulles on the China question. Mr. Shima said that the letter was being submitted at that very moment to the Cabinet, no member of whom, except the Prime Minister, was aware of its existence, and that it would be released to the press concurrently in Tokyo and Washington (by the State Department) at 1000 hours Japanese time. Text is contained in my immediately following telegram. Letter is dated 24th December, *i.e.*, after Mr. Dulles's departure from Japan.

2. Minister asked Mr. Shima to thank the Japanese Government for its courtesy in giving this mission advance knowledge of publication of the letter. At the same time he wished to emphasise that this question of the two Chinas was one the decision regarding which His Majesty's Government had always regarded as lying exclusively with the Japanese Government and that consequently His Majesty's Government had scrupulously avoided putting any pressure on the Japanese Government either one way or another. Mr. Shima, who was very apologetic in his manner and explained quite frankly that until this morning he was in complete ignorance of the latter, said that from the Japanese point of view the essential thing was that there should be no obstacle to the ratification by the United States Senate of the treaty. He then added artlessly that he did not know why this moment should have been selected for publication.

Foreign Office please pass to Washington as my telegram No. 4, Immediate, and to Singapore and Hong Kong as my telegrams No. 13 and No. 4 respectively.

[Repeated to Washington and Singapore. Copies sent to Telegraph Section, Colonial Office for repetition to Hong Kong.]

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(2)

Sir E. Dening to Mr. Eden. (Received 16th January)

(En Clair)
(No. 71. Emergency) *Tokyo,*
(Telegraphic) *16th January, 1952.*

My immediately preceding telegram. Following is text.

While the Japanese Peace Treaty and the United States-Japan Security Treaty were being debated in the House of Representatives and the House of Councillors of the Diet, a number of questions were put and statements made relative to Japan's future policy towards China. Some of the statements, separated from their context and background, gave rise to misapprehensions which I should like to clear up. The Japanese Government desires ultimately to have a full measure of political peace and commercial intercourse with China which is Japan's close neighbour.

At the present time it is, we hope, possible to develop that kind of relationship with the National Government of the

No. 30

STATEMENT ON COMMONWEALTH AND UNITED STATES CITIZENS UNDER ARREST IN CHINA

House of Commons: April 21, 1952

With your permission, Mr. Speaker, and that of the House, I should like to make a statement.

The House will wish to know that Her Majesty's Chargé d'Affaires in Peking has been instructed to address a note to the Chinese Government to-day bringing to their notice all cases of Australian, Canadian, United Kingdom and United States citizens reported to be under detention in China, requesting information about those who have been arrested, the nature of the charges, what sentences, if any, have been passed on them, and their present whereabouts and welfare, and requesting facilities to enable Her Majesty's Chargé d'Affaires to communicate with them.

Her Majesty's Government in the United Kingdom is in charge of Australian, Canadian and United States interests in China.

This step has therefore been taken on behalf of and with the approval of the Governments of Canada, Australia and the United States, as well as on our own account.

There are believed to be fifty-five citizens of the countries in question who are at present in gaol.

Five of these are citizens of the United Kingdom and Colonies, five of Canada, three of Australia and forty-two of the United States.

A further twenty United States citizens are reported to be under house arrest.

Others are known to have died in prison, though no satisfactory details have been obtained from the Chinese authorities, and several have been released in such a poor state of health, due to neglect of their special ailments, that they died shortly after release.

The figures given are subject to correction, since in most cases persons under detention have not been permitted to get in touch with their national representatives, families or friends.

General representations on behalf of those detained were made by Her Majesty's Chargé d'Affaires in August last year and the attention of the Central People's Government has repeatedly been drawn to the various individual cases by separate communications.

I regret to inform the House that these representations do not so far appear to have effected any improvement in the situation. Hence the note which Her Majesty's Chargé d'Affaires has been instructed to deliver to-day.

FJ 10310/79

No. 31

BILATERAL PEACE TREATY BETWEEN JAPAN AND NATIONALIST CHINA

Consul Jacobs-Larkcom to Mr. Eden. (Received 19th May)

(No. 22. Confidential) *Tamsui,*
Sir, *7th May, 1952.*

I have the honour to refer to my despatch No. 16 of 7th April, 1952, on the subject of the bilateral peace treaty between Japan and Nationalist China. The signature of this treaty on 28th April enables me to bring the account of the negotiations to a conclusion. Copies of the authentic text have already been forwarded under my letter No. 873 of 30th April to China and Korea Department. A diary of events between 4th and 28th April is attached as Annexure "A"(1) to this despatch, some brief comments on the treaty, article by article, are given at Annexure "B"(1), and Dr. George Yeh's statement following the signing ceremony, is reproduced at Annexure "C"(1).

2. After negotiations extending over sixty-seven days and much hard bargaining, the plenipotentiaries, Dr. George Yeh and Mr. Isao Kawada, signed the bilateral treaty in Taipei at 3·15 p.m. local time on 28th April, just seven-and-a-quarter hours before Japan regained her status as a sovereign

(1) Not printed.

nation through the formal deposition in Washington of the United States Government's ratification of the multilateral treaty The ceremony took place before about 200 of the leading Nationalist officials, but President Chiang Kai-shek did not himself attend. Contrary to the usual practice, however, the diplomatic corps were not invited to be present.

3. In general, the treaty is an abridged and simplified version of its San Francisco progenitor, adapted to meet the particular problems confronting Japan and Nationalist China in their mutual relationship. It consists of a preamble, fourteen articles, two exchanges of notes and four agreed minutes. The treaty proper and protocol are bound together in one volume, but the exchanges of notes and agreed minutes are each separate documents.

4 The treaty can generally be regarded as satisfactory, in that it ends the state of war between Japan and Nationalist China and provides a basis for the settlement of outstanding problems In spite of periods of strained relations during the negotiations, a friendly atmosphere prevailed at the end, which should be helpful in reaching agreement on the matters deferred for later settlement On the whole, the treaty is non-provocative, and this should ensure its ratification by the Japanese Diet without serious opposition. It should be noted that, according to Japanese practice, the exchanges of notes, but not the agreed minutes, must be tabled before the Diet. The necessity of submitting the controversial subject of "puppet régime" property to the Diet for approval is thus avoided. As Chiang Kai-shek has already approved the terms of settlement, it is not expected that the Legislative Yuan will raise difficulties on the Chinese side. Ratification by both sides is expected to be completed by the end of May.

5. The Japanese approached the negotiations with the intention of signing a limited treaty with the Nationalists as the regional authorities in control of Formosa, based on the Yoshida letter to Dulles, and—with reservations—on the San Francisco Treaty. The instructions to the delegation were to regard the Nationalists as "a Government" and not as "the Government of China." Following logically from this, they tried to steer clear of entanglement with problems arising out of their occupation of Manchuria and other parts of continental China which would tend to prejudice any trade or other "agreements" they might in future wish to make with the Central People's Government, and jeopardise ratification by the Diet. Lastly, their tactics and behaviour during the progress of the negotiations gave the appearance that they intended to protract the discussions until the San Francisco Treaty became effective and they could sign the bilateral treaty as a sovereign Power. (This point is discussed more fully in paragraph 8 below.)

6. The Chinese approached the problem from a different angle. On the material side they demanded little beyond what they had already taken, and adhered to their proclaimed policy of a generous settlement with a defeated Japan. But they were more concerned with the moral factors, such as the recovery of their prestige and "national honour" after their failure to participate in the San Francisco Treaty, and the establishment of Japanese recognition of their position as one of the victor allied nations and of their sovereignty over the mainland. They also raked up old scores, as far back as the Mukden incident of 18th September, 1931

7. As in most bargaining, the final result was a compromise, with the Chinese having gained, perhaps, rather more than the Japanese might have been expected to concede. They gained Japanese recognition of their status as one of the allied nations (with certain reservations), and a qualified recognition of their sovereignty over the mainland They achieved signature before Japan regained her sovereignty They won the day over civil air navigation rights and forced inclusion of the "puppet régime" property question, though admittedly the terms of settlement were vague and relegated to the sphere of an agreed minute. On the other hand, the Japanese successfully resisted the inclusion of any admission of liability in principle or payment in cash, kind or services, for reparations, and excluded all reference to the date of opening of hostilities. The above points are more fully discussed below and in Annexure "B."(1)

8. The timing of events so that signature took place on the same day but a few hours earlier than the effectuation of the multilateral treaty, is difficult to explain, in that it obviously lay within the power of the Japanese Government to prolong the negotiations the few extra hours necessary to allow them to sign as a sovereign Power. It seems almost as if, having demonstrated their power, they contemptuously made this last minute concession to Chinese "face."

(1) Not printed.

That the Chinese attached great significance to the time of signature is proved by the indecent haste with which the preparations for the ceremony of signature were pushed forward, as soon as the Japanese Agreement was known. A satisfactory explanation would have been that the Japanese had played on Chinese sensitiveness as to the time of signature in order to win some substantial concession on the matters finally remaining in dispute. This explanation, however, is not tenable, since the gap at the end between the different points of view was very small. Possibly the Japanese merely wished to avoid the limelight and considered that the signing of the bilateral treaty would attract less notice in the world press if announced on the day when all eyes were focused on the recovery of her independence. Whilst any of the above explanations may be the true one the possibility of pure coincidence cannot be ruled out. In support of this, Mr Kimura, the head of the Japanese Overseas Agency in Taipei, has assured me in informal conversations that the Japanese Government had no wish to protract negotiations until after the multilateral treaty became effective.

9. Whilst the treaty contains no specific acknowledgment of Nationalist sovereignty over the mainland, the Nationalists can claim at least a qualified recognition is implicit in certain articles of the treaty, notably articles IV and V of the treaty proper (somewhat surprisingly accepted by the Japanese without demur) and the second and third agreed minutes. It can reasonably be argued that Japan, by the acceptance of these articles, acknowledges the Nationalists as the lawful successors to previous Chinese Governments which were in control of the mainland. The formula in the first exchange of notes governing the scope of application may also be claimed as a qualified acknowledgment of Nationalist rights on the mainland. It is certainly unusual to include a provision in an open treaty (though admittedly not in the treaty proper or protocol), whereby one Power undertakes to apply the terms of the agreement to territory over which the other Power may subsequently gain control. Although the Chinese failed to obtain inclusion of a clause specifically acknowledging their sovereignty over the mainland they succeeded in establishing their claim to be treated as something more than a local régime.

10. The Japanese were adamant in their stand on reparations. They refused to consider payment of reparations for damage on Formosa, for which, they correctly argued, they could not be held responsible as it was caused by Allied action. They likewise refused even to discuss reparations in respect of damage on the mainland and successfully resisted the Chinese demand that a clause should be included, such as Article 14(*a*) of the San Francisco Treaty, admitting their liability in principle. In the end, the Chinese had to be satisfied with the implication of Japanese liability contained in their own waiver.

11. The solution of the difficult problem of Japanese property in Formosa has been shirked Article III of the treaty proper provides for later settlement of this and other property questions. In fact, of course, all Japanese property in Formosa has already been confiscated by the Nationalists and the Japanese have no hope of recovery. The legal position is somewhat complex. Under Article 14 (*a*) 2 (*i*) of the San Francisco Treaty, Japan relinquished, with certain exceptions, all claim to her property in Allied countries, which term would include "China." The status of Formosa is, however, as yet undecided Japan has relinquished her claim to it but its final disposal has not yet been settled by the United Nations. The seizure of Japanese property in Formosa by the Nationalists has, therefore, no strict legal basis and many unfortunate repercussions result from this anomalous situation.

12. The Japanese cannot be absolved from the suspicion that they employed delaying tactics (see paragraphs 5 and 8 above). Through their need to ensure ratification in the American Senate they were, perhaps, forced to begin negotiations earlier than they wished. Whatever their real motive may have been, many of their actions during the progress of negotiations seemed calculated to delay settlement. For example, the initial argument over the title of the treaty dragged on for a fortnight Then a series of new and often trivial objections were raised as soon as the old problems were disposed of. And finally, there was the rejection on two occasions, by the Japanese Government, of the terms agreed by their plenipotentiary

13. The Nationalists were extremely tenacious in their claim to be regarded as one of the Allied nations and for equal treatment with them. The Japanese resisted this claim strongly but finally gave way, and Nationalist rights are clearly established in

Article XII of the treaty proper and paragraphs 1(a) and 2(a) and (b) of the protocol

14. Comment in Taipei by prominent Chinese and in the press has been generally favourable and can be summed up in the words of the chairman of the Legislative Yuan, Chang Tao-fan, that it is the "best obtainable in the existing situation."

15 In conclusion, the treaty has enabled normal relations to be resumed between Japan and Formosa and paves the way for the settlement of outstanding problems These are many and formidable and include, in addition to those reserved in the treaty for later settlement, such matters as immigration, residence and travel of Japanese businessmen, claims by Formosans in respect of war-time requisitions, insurance premiums frozen after the outbreak of war, losses through depreciation of currency, &c. There are also problems in connexion with the position of Formosans resident in Japan. It will be interesting to watch the progress of negotiations on these matters, now that Japan has regained her sovereign status.

I have, &c

E H JACOBS-LARKCOM.

FC 10111/58 No 32

CHINESE PROTEST ABOUT ALLEGED PERSECUTIONS IN HONG KONG

(Delivered to Her Majesty's Chargé d'Affaires on May 11, 1952)

" Recently, the atrocities of persecuting the Chinese residents by the British Government in Hong Kong, have become ever more serious and have aroused irrepressible wrath and opposition among the Chinese people. The Ministry of Foreign Affairs of the Central People's Government of the People's Republic of China deems it necessary to issue the following statement —

After the British authorities in Hong Kong had illegally and successfully arrested and deported some Chinese cinema workers and the representatives of the sufferers of the fire-ravaged area in Kowloon–Szuma Wensen, Li Wenhsing and others, the Central People's Government of the People's Republic of China issued a statement on January 25th, 1952, lodging a serious protest with the Government of the United Kingdom and demanding the immediate ending of these atrocities. Instead of repenting of its atrocities, the British Government has proceeded all the more rigorously with its barbarous persecution of the Chinese residents in Hong Kong.

On 1st March the British authorities in Hong Kong, on the occasion of the assembling of the Chinese Residents in Kowloon to welcome "the Delegation of the People's Organisations of Kwangtung province and Canton city for comforting the sufferers of the fire-ravaged area of Tungtou village in Kowloon," deployed a large number of British police and troops to perpetrate a barbarous massacre of the local Chinese inhabitants, many of whom received bullet wounds, including Chen Tayi, a textile worker, who died later of a serious wound. Over 100 people were arrested on the spot, a number of whom are still in jail.

On 4th March, the Chinese peasants, Lin Li-chi and six others while on their way to work on their farms in Kowloon, were illegally arrested and were subjected to tortures. On 25th April British plain-clothes men suddenly arrested and deported vice-chairman Chien Chiang and nine others of the Hong Kong-Kowloon Rubber and Plastic Trade Union Council On 2nd, 5th and 6th of May, the British authorities successively deported Yuan Hsiangtao, chairman of the Chinese employees union of the Hong Kong military hospital of the British Government, fifteen other workers, and two students

Furthermore, the British authorities in Hong Kong have connived with some of the Chiang Kai-shek remnant reactionary clique on the Hong Kong–Kowloon border area, in sneaking into the Chinese territory and carrying out various sabotage activities. Under the rule of the British imperialists, mysterious fires have broken out in essentially Chinese residential districts in Hong Kong. On 21st November, 1951, the Tungtou village of Kowloon was burned down. On 30th April, 1952, 2,000 more wooden houses in Kowloon were destroyed by fire As a result of these conflagrations, tens of thousands of Chinese people suffered extremely heavy losses. The British authorities in Hong Kong not only refused to provide relief for these sufferers, but on the contrary deliberately adopted various measures of persecution, arrested the

sufferers, and looted the donated clothes and articles for their relief, thus depriving them of their means of subsistence

The British authorities in Hong Kong are still continuing on a large scale, measures of persecuting the Chinese residents, and are prepared to continued the arrest and deportation of the Chinese workers, peasants, trade union and cultural workers, and other innocent patriotic citizens, living in Hong Kong

After having committed a series of atrocities, as mentioned above, the British authorities in Hong Kong, being afraid of the righteous protest against these atrocities raised in the editorial of the *Pekng People's Daily*, which was republished by *Ta Kung Pao, Wen Wei Pao* and *Hsin Wan Pao* in Hong Kong, went so far as to make a false accusation against Fei Yi Min, Mei Wen Ting, Li Tsung Ying, Li Tzu Sung and six other persons responsible for the said three newspapers and arbitrarily put them under arrest, on 20th and 21st March, on the framed-up charge of having published the so-called "seditious publication" and violated the so-called "sedition ordinance"

Only after an enormous "bail" was paid were they released "to wait for trial" After the illegal "trial" had lasted for a fortnight from 16th April, under the malicious plot of the British authorities in Hong Kong to implicate them, the Hong Kong *Ta Kung Pao* was at last forced to suspend its publication on 5th May for six months and the leading personnel of this paper, Fei Yi Min and Li Tsung Ying were sentenced respectively to a fine or imprisonment. The illegal trial of Wen Wei Pao and Hsin Wan Pao, and the other intrigues by the British authorities in Hong Kong are still being vigorously prosecuted

Such a series of reactionary measures, unscrupulously adopted by the British Government in Hong Kong have trampled on the fundamental freedom and rights of the Chinese residents in Hong Kong, imposed a reign of terror on them and thus constituted a hostile and provocative act against the People's Republic of China The Chinese people cannot possibly tolerate such seriously hostile acts of the British Government The Ministry of Foreign Affairs of the Central People's Government of the People's Republic of China once again lodges a serious protest with the Government of the United Kingdom and demands it to stop immediately the aforementioned atrocities. The Government of the United Kingdom should be held entirely responsible for all the consequences of these atrocities."

FJ 10310/78 No. 33

SIGNATURE OF A PEACE TREATY BETWEEN THE JAPANESE AND CHINESE NATIONALIST GOVERNMENTS

Sir E. Denng to Mr. Eden. (Received 19th May)

(No. 130 Confidential) *Tokyo,*
Sir, *12th May, 1952.*

The negotiations begun at Taipeh in the middle of February between representatives of the Japanese and Chinese Nationalist Governments were concluded by the signature on 28th April of a Treaty of Peace, with attached Protocol, the text of which, as published in the Japanese press on 29th April, was enclosed in the Head of Chancery's letter 1030/101/52 of 6th May. On the same date two sets of letters were exchanged between the chief delegates. In one of these the Japanese Government confirmed that the terms of the treaty "shall in respect of the Republic of China be applicable to all the territories which are now or which may hereafter be, under the control of its Government" In the other the Japanese Government confirmed that pending the conclusion of the agreement on civil aviation provided for in the treaty, Japan would give to the Republic of China the same benefits as regards civil aviation as those she agreed to give to the Allied Powers under article 13 of the Japanese Peace Treaty.

2. The Japanese Government's undertaking to conclude a treaty with Chiang Kai Shek, given in Mr. Yoshida's letter of 24th December, was thus fulfilled a few hours before Japan ceased to be an occupied country. The final act was completed when public attention both in Japan and elsewhere was diverted by events connected with the coming into force of

the San Francisco Peace Treaty and in Japan at least there has so far been no very marked reaction.

3. The delays and vicissitudes in the negotiation of this treaty have already been reported. Until the last moment the Japanese seemed to be in no haste, and part at least of the delay was no doubt due to Mr. Yoshida's desire to show the Americans that while circumstances made it imperative for him to do their bidding, he could take his time about it. A report in the Asahi on 14th April said that the delay was due to Mr. Yoshida's desire "to give special consideration to the position of Great Britain," but although there is no doubt that the reaction in the United Kingdom to the "Yoshida letter" has caused the Japanese no little concern, this isolated report is the only indication there has been in Japan that the protraction of the negotiations was in any way due to a Japanese desire to spare British susceptibilities.

4. Viewed from the immediate prospect the treaty is a considerable success for the Japanese. They were able to avoid in the treaty itself reference to the most controversial issue—the territories "which may hereafter be under the control of the Nationalist Government"—and this was dealt with by an exchange of letters which significantly have not been published in Japan. Thus to some extent the Japanese have been able to avoid public acknowledgement to their own people of their acceptance of Mr. Dulles's dictation. Also under article 3 they have managed not only to avoid being pinned down on the question of payment of reparations but have succeeded in writing into the treaty their own claims in Formosa and the Pescadores as a subject for future negotiation on the same basis as the Chinese claims against Japan. When one considers the total abandonment of her assets abroad which Japan accepted under the San Francisco Treaty, the wresting of this concession from the Nationalist Government of China must at least be regarded as a considerable diplomatic victory, and it is safe to say that having obtained this agreement in principle the Japanese will bargain hard and long when it comes to settling specific cases.

5. Further, under the terms of the protocol Japan is absolved from supplying to the Republic of China any of those services in lieu of reparations which the Allied Powers signatory to the San Francisco Treaty may claim under article 4 (*a*) of that treaty, she is absolved in respect of Nationalist China, from the terms of article 11 of the San Francisco Treaty concerning war criminals; and she has succeeded in escaping the liabilities incurred under article 18 of the San Francisco Treaty for the settlement of pre-war pecuniary debts arising out of private and public obligations and contracts.

6. On the face of things therefore Japan might well congratulate herself. But there is a reverse side to the medal. In my despatch No. 15 of 28th January I discussed the probable effect of the "Yoshida letter" and of the policy toward China which it inaugurated. Whatever immediate gains this treaty may bring to Japan they affect only a small corner of Chinese territory and are bought at the expense of ensuring the alienation of the Central People's Government and the whole Chinese mainland. It is of course arguable that as long as Japan remains opposed to communism and friendly to the Western Powers the alienation of that Government is in any case inevitable, but it is also arguable that had Japan not been led to provoke them, a reasonable *modus vivendi* with the Chinese might have been arranged. Of this there now appears no possibility.

7. Because, as stated above, the signature of this treaty coincided with other events of more immediate moment, the Japanese press and informed public opinion have not yet had time to devote themselves to a detailed study, and there are at present no pointers as to the attitude which the Diet will take when the treaty is submitted for ratification. In my despatch No. 15 I stated that since at the time of the Yoshida letter Japan was still under occupation, too forthright a criticism of Mr. Yoshida in the Diet might be avoided lest it be construed as criticism of the United States. At present Japan is sovereign and beginning to speak her mind. The debate in the Diet may therefore show whether the apparent unconcern with which Mr. Yoshida has dealt with Japan's relations with her Chinese neighbour is shared by his fellow countrymen.

I am sending copies of this despatch to Her Majesty's Ambassadors at Washington and Moscow, Her Majesty's Charge d'Affaires at Peking, the Commissioner-General for the United Kingdom in South-East Asia, his Excellency the Governor of Hong Kong and Her Majesty's Consulate at Tamsui.

I have, &c.
M. E. DENING

The Secretary of State replied:

to (*a*) that the United Kingdom Chiefs of Staff had been more impressed by the area of disagreement in the *Ad Hoc* Report than by the area of agreement and considered that no progress could be made until general agreement could be reached,

to (*b*) that we should certainly try to get the new directives agreed as soon as possible, to be in time for talks after mid-July

It was then agreed that officials should meet the next morning (28th June) to draft directives for consideration by the three Governments

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FJ 1633/24 No. 43

JAPANESE POLICY IN THE FAR EAST

Conversation between Her Majesty's Ambassador, Mr. MacDonald, and the Japanese Prime Minister

Sir E. Dening to Mr. Eden (Received 15th July)

(No. 190 Confidential) *Tokyo,*
Sir, *10th July, 1952*

With reference to my despatch No. 189 of 10th July, in the course of my stay with Mr. MacDonald at Hakone, I found myself for a time after dinner alone with the Prime Minister. He had asked his daughter and son-in-law, Mr. and Mrs. Jiro Shirasu, Count Kabayama (father of Mrs. Shirasu), and Mr. Shigeru Matsumoto, a journalist friend of Mr. MacDonald's (the Prime Minister told us that he intended to appoint Mr. Matsumoto to be Japan's delegate to the United Nations) to meet us at dinner, and the party was unusually free and informal

2. It was in this atmosphere that the Prime Minister told me that he wished to establish a basic policy of co-operation with the United Kingdom and the United States in the Far East and he hoped he could rely upon my help. Without such co-operation there could be no peace in the Far East, and he asked me what I thought. I said that the idea seemed to me a good one which we should develop, but when we came to practical aspects, the main difficulty arose over China. The Prime Minister at this stage admitted (for the first time to my knowledge) that his own ideas about China might be out of date. I went on to say there were two aspects of the China situation: one was China itself and the other was Formosa. As for the latter our feeling was that there was no future in Chiang Kai-shek; he had merely a past. I said that our views on this were without personal rancour against Chiang Kai-shek; who had been great in his day. But we did not believe that Chiang Kai-shek could ever stage a comeback in China; and if anybody were to base their policy on such a supposition we believed it would be a profound mistake.

3. When we came to consider China, I said that we had to accept the facts These were that China was now ruled by a Government which was 100 per cent Communist and intended by every means in its power to consolidate a Communist régime in China. We should not under-estimate the capacity of the present Chinese Government to carry out this aim. In so far as it was a Communist Government, its aims and purposes appeared to be inimical to the free world, but I did not see that for the present we could do much about that, beyond trying to contain China if she attempted to erupt beyond her own borders, and I cited the Korean war as an example. The tension with China was unlikely to be lessened as long as Chinese were fighting in Korea, and the first requirement was thus for an armistice in Korea and the eventual withdrawal of Chinese forces. As to the future, it was difficult to prophesy. I reminded the Prime Minister that Russian and Chinese policies coincide for the present. If at some date in the future friction should develop between China and Russia, as to which there was no present sign, it was possible that China might look elsewhere and thus tend to modify her present attitude.

4. This conversation was resumed at a later stage when we were joined by Mr. MacDonald, Mr. Matsumoto and Mr. Shirasu, but before they appeared the Prime Minister referred to South-East Asia and said it was his intention to send representatives to the various South-East Asian countries, and to invite representatives from there to visit Japan, because he wanted to

get a clearer picture of what was going on. He hoped that if representatives from South-East Asia came to Japan I would be willing to meet them, and I said I should be glad to do so

5. When we were joined by the others, I reverted to the question of China, and Mr. MacDonald restated in similar terms what I had said about Chiang Kai-shek, adding that though there were some Kuomintang elements amongst the Chinese populations in South-East Asia, in general they no longer placed any faith in Chiang Kai-shek or the Nationalist Government in Formosa In reply to a question by one of the Japanese, Mr. MacDonald said that when the Central People's Government was first established in China, it enjoyed a considerable measure of interest and respect amongst the Chinese populations of South-East Asia. This was partly because they were tired of the continued failures of the Nationalist Government and partly because nothing succeeds like success, and China had, as a result of the accession to power of the Communist Government, at last come to be regarded seriously by the rest of the world But as time passed and stories began to filter through of the repressive actions of the Central People's Government, which in many cases affected the relatives and friends of overseas Chinese, opinion began to change, and though Communist elements existed amongst overseas Chinese, they were in the minority, and the Chinese generally were now against the Central People's Government. On the other hand, they no longer expected that the Nationalist Government could restore the situation.

6. At this stage Mr. Matsumoto referred to the recent visit of Mr. Ogata to Formosa, and asked what we thought of the idea of a union between Formosa and Japan: a sort of Japanese United Kingdom. Mr MacDonald said that he thought this was a very dangerous idea since it would arouse keen opposition from many quarters, and we both said that we thought the Formosan question must be kept in cold storage. I thought this incident very significant in view of the suggestion contained in paragraph 15 of my despatch No 136 of 20th May, and it strengthens the belief that, in establishing treaty relations with Chiang Kai-shek, the Japanese may have in mind a closer relationship with Formosa in the future when the generalissimo no longer has a rôle to play.

7 There was some discussion about trade with China, in the course of which I pointed out that even supposing there were no restrictions, the pattern of that trade was likely to be dictated by China and not by Japan Mr. Shirasu and Mr Matsumoto agreed with this and said that Peking radio in a recent broadcast confirmed what I had just said. Nevertheless, they indicated that, as we already knew, there is a strong desire in Japan to trade with China and criticism of the Government for its failure to encourage such trade.

8. The conversation then turned to Japan, and I am reporting this in a separate despatch Copies of this despatch are being sent to the Commissioner-General at Singapore, to the Governor of Hong Kong and to Her Majesty's Representatives at Washington and Peking.

I have, &c.

ESLER DENING.

FC 1017/98 No. 44

CHINESE COMMUNIST PARTY: 31st ANNIVERSARY CELEBRATIONS

Mr. Lamb to Mr. Eden. (*Received 11th August*)

(No 159. Confidential) *Peking.*
Sir, *July 16, 1952.*

The 31st anniversary of the foundation of the Chinese Communist Party was celebrated throughout China on the 1st July, 1952. In contrast to the 30th anniversary, on which I had the honour to report in my despatch No. 272 of the 12th July, 1951, the 31st anniversary was celebrated quietly. Apart from certain "birthday presents," such as the completion of the Chengtu-Chungking Railway and of the Ching River flood division scheme on the Yangtze, there was little by way of special celebration beyond the traditional publication of messages of congratulation from all the appropriate people and organs in China, Asia and the world, and the issue of commemorative editions of the daily press. There were, for instance, few meetings or parties—the only meeting reported to have been held in Peking was solely on a local, and not a national, party basis—and the relatively few recorded speeches of interest

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FURTHER CORRESPONDENCE

RESPECTING

JAPAN

PART 6

January to December 1952

FJ 10345/1 No. 2

VISIT OF MR. FOSTER DULLES TO JAPAN

Discussions on the Future Relationship of Japan with the Free World

Sir E. Dening to Mr Eden (Received 4th January)

(No. 401. Confidential) *Tokyo,*
Sir, *31st December,* 1951

Mr. John Foster Dulles who visited this country three times in the course of the Japanese Peace Treaty negotiations, returned to Tokyo on 10th December After a ten days stay which included discussions with the Japanese Prime Minister, the occupation authorities and foreign diplomatic representatives, and visits to industrial Kansai and to Korea, he left for home on 20th December

2. Mr Dulles announced on arrival that with the signature of the Peace Treaty and the Security Pact at San Francisco his specific responsibilities for negotiation had come to an end. He would not be working on the Administrative Agreement under the Security Pact or on any question of Japanese security forces The President had, however, asked him to be at the disposal of the United States Senate when it considered the ratification of the two treaties. Accordingly he had come, together with Senator Smith (Republican, New Jersey) and Sparkman (Democrat, Alabama) the ranking members of the Senate Foreign Relations Far East Committee, who were meeting him in Japan, to obtain up-to-date information to enable the case for ratification to be accurately presented to the Senate. But, he added, primarily he had come because he had conceived a deep regard for the Japanese nation and he wanted to do what he could to promote " mutual understanding of our respective problems and aspirations, so that we may, from now on, live together in peace as good and helpful neighbours." Mr Dulles had also been instructed, as agreed between you, Sir, and Mr Dean Acheson, (your telegram No. 1361 of 22nd November to Paris) to discuss with me the whole question of Japan's future relations with Formosa and to reach agreement which would be subject to confirmation by our two Governments as to precisely what steps Japan might appropriately take *vis-a-vis* of the authorities in that island. As already reported to you by telegram and described later in this despatch, discussions on this duty took place but were inconclusive. No public announcement was made by either party that such discussions were held.

3. Mr. Dulles's programme was a full one. Immediately after arrival he and the Senators launched into private discussion with the Supreme Commander and his Political Adviser, Mr. Sebald On the following day Mr Dulles entered upon the first of three formal discussions with the Japanese Prime Minister all of which were also attended by Mr. Sebald and Mr. Sadao Iguchi, the Japanese Vice-Minister for Foreign Affairs. No official statements were issued about the outcome of these talks. I had two long official talks with Mr. Dulles and met him on a number of occasions socially. He and Mrs. Dulles and the two senators with Mrs. Smith dined at this mission on 17th December. The American party was also entertained at luncheon by the Chief of the French Mission in Tokyo and by the Governor of the Bank of Japan and met Japanese business leaders at cocktails Dinner parties were given by the Prime Minister, by General Ridgway, and by Mr. Sebald On 18th December they were received by the Emperor and Empress at the Imperial Palace and afterwards invited to a luncheon at which were also present the Prime Minister and Mr. Sebald The party visited the Diet on 12th December and met representatives of the political parties. I understand that the two senators' forthright expressions of opinion on this occasion about Japan's relations with the " two Chinas " came as something of a shock to some of the Diet members On 15th December Mr. Dulles and the senators visited industrial concerns including a cotton and steel plant and a shipyard at Osaka, Kobe and Yawata in Northern Kyushu. The following day they spent in Korea. Mr. Dulles also had discussions with my Indian colleague, Mr. Chettur, and with Mr. Takeo Muto, the chairman of the General Council of Trade Unions of Japan. On their last evening the whole party was entertained to a reception and performance at the Kabuki Theatre given jointly by over a hundred Japanese civic organisations.

4. The most important public statement of Mr. Dulles's visit was a speech which he made in Tokyo on 14th December at a luncheon organised jointly by the American Chamber of Commerce in Japan and the

Japanese Chamber of Commerce and Industry. Mr. Dulles took great pains with this speech and a number of drafts were prepared, the final edition being approved only after consultation with Mr. Sebald in Tokyo. Mr. Dulles began by extolling the unique qualities of the San Francisco Peace Treaty, its lofty ideals, the practically unanimous response it had evoked from the Allied Powers, and the fact that Japan had, during its negotiation, been treated as a party which should be fully consulted. Never in all history had a peace treaty restored the vanquished to such a status of equality with the victors. Mr. Dulles went on to describe how Japan, having assumed the status of a sovereign equal, could and should become a positive contributor to the welfare and security of the free world The Japanese people should, however, realise that what they must do must be done in co-operation, not alone Japan would be subject with her equals to the same moral obligations and the same United Nations principles as devolved upon other free nations. No nation had a right to-day to refuse to make a contribution to collective security and no nation had a right so to expose itself that it could be seized, exploited and used as a weapon against its neighbours. Japan, as a sovereign power had a duty not merely to herself but to her neighbours to participate in the collective security planning of the free world. For the time being that obligation meant realistic co-operation with the United States. If it were not for the protecting shield of the United States' power, Japan would be a Soviet Russian satellite. Behind the protecting shield Japan could gradually develop a healthy economy and capacity to contribute to its own defence without sacrificing moral and economic standards to excessive militarism. Initially Japan would not be in a position to make any great military or financial contribution but could take pride in the contribution of what the United Nations Charter called "facilities." The combination, under the Security Pact, of United States armed forces and Japanese facilities for international peace and security in the area of Japan was, however, only one aspect of the inevitable co-operation between the two nations. They would co-operate as a result of the provisions of the Peace Treaty, in regard to United States administration of the Ryukyu and Bonin islands. They would co-operate in economic matters, Americans who had developed a unique capacity to export capital, would assuredly be glad to co-operate with Japan, provided the Japanese showed that their new political institutions reflected the courage, discipline and self-control necessary for mutually advantageous financial co-operation. Mr. Dulles closed with an appeal for Japan and the United States to make their relationship an example of the new equal co-operation between the Free East and the Free West which would take the place of the obsolete and discredited colonial relationship. Japan and America were faced with a new and historic opportunity. The United States would contribute understanding and tolerance as did Japan from its side. Out of that joint effort both could find new greatness.

5. The speech provoked mixed reactions in Japan but the most favourable were scarcely enthusiastic. Most extreme criticism came from the Left-wing Socialist leader Mr. Mosaburo Suzuki who saw "nothing new in the latest lecture by Mr. Dulles." He added that Japan's safety could not be guaranteed by belonging either to the United States or Soviet camp but by the prevention of war in Asia. The general tone of comment showed a keen and realistic sensitiveness to Japan's economic position and territorial integrity; several comments harped on Japan's inability to pay reparations and on the loss of Japan's former island territories and there was a general tendency to emphasise what were thought to be the United States obligations rather than those of Japan. Mr. Dulles's "lofty ideals" were not re-echoed. Idealism, which has such an appeal to an American audience, is not calculated to stir the Japanese in their present mood. The Japanese Government typically avoided giving its countrymen any lead and neither the Prime Minister nor his colleagues commented publicly on Mr. Dulles's speech. It was perhaps noteworthy that neither in this speech nor at any other time during his visit did Mr. Dulles publicly refer to the part which is now being or would be played in the future by the British Commonwealth or the other Western Allies in relation to Japan's re-emergence as a sovereign equal among the free nations of the world. Although Mr. Dulles's description of American power in the Pacific shielding Japan was realistic, and although I have not heard any Japanese express such an opinion, I have the impression that Japan does not relish the suggestion that she should become an exclusively American preserve. On the other hand, although the fact that Japan had found a voice and will of her own since his last visit must have been only too

apparent to Mr. Dulles, and there was no sign that popular reaction to American dictation would crystallise into downright recalcitrance should the United States crack the whip.

6. Before Mr. Dulles's arrival the Japanese Government were undoubtedly apprehensive that he would press them both to rearm and to conclude some form of Peace Treaty with the Chinese Nationalists in Formosa. Their apprehensions were sharpened by reports from Washington, republished locally, to the effect that the Senate's ratification of the two treaties might depend on satisfactory assurances by Japan on these two points That Mr. Dulles was indeed thinking on these lines, at least as regards Japan's relations with the Nationalists, was, of course known to His Majesty's Government Despite his protestations on arrival that he had no negotiating responsibility, the Japanese press, taking its cue from the customary indiscretions of Government officials, continued throughout his stay to assume that he was pushing Japan to speedy rearmament and to signature of a treaty with Chiang Kai-shek. In public Mr. Dulles was fairly successful in avoiding any suggestion of coercion but in private both he and the senators were at pains to indicate the policies which, in the American view, Japan should follow on these two points. The two senators, who had come to Japan direct from Formosa, were, not surprisingly, intolerant of any suggestion that Japan should choose her own associations and less discreet than Mr. Dulles in letting this be known.

7. On China, as reported separately by telegram, Mr. Dulles showed Mr. Yoshida at an early stage in their discussions, as he indicated to me, a memorandum, suggesting that Japan should conclude a bilateral Peace Treaty with the "Republic of China," the text of which would make it clear that Japan would in no way recognise the authority of that Government on the mainland of China and so avoid, according to Mr. Dulles, any question of Japan prejudicing her future relations with the mainland. Mr. Yoshida's private reaction to this appears to have been characteristically evasive and the only subsequent public indication of his attitude was a plea for Anglo-American unity made at the annual Japan-British Society dinner on 14th December. As far as I am aware Mr. Dulles did not thereafter force his proposal on Mr. Yoshida partly, no doubt, because of your opposition to it expressed first in my own discussions with him and later, as reported in Washington telegram No. 3900 to you, through the State Department as a result of Sir Oliver Frank's intervention with Mr. Acheson. However, a curious feature of the affair was that on 13th December, just before Mr. Yoshida saw Mr. Dulles for the second time, an official of the Japanese Ministry for Foreign Affairs let himself be quoted in the press as anticipating that the Prime Minister would tell Mr. Dulles of his intention to conclude a treaty with the Nationalists and would shortly send Mr. Ken Inukai (a well-known political jobber and the son of a former Prime Minister) as a special emissary to Taipeh. Whether Mr. Yoshida ever gave such an assurance or not, I do not know, but I am inclined to doubt it. In any event nothing further has since been said officially or in the press either about a treaty or Mr. Inukai. The report itself evoked little comment but the general attitude of the press on the question was that Japan should not be in a hurry to commit herself as regards either of the "two Chinas."

8. There was not enough time left before Mr. Dulles's departure for him to discuss with me any modifications of his proposal but as he said in a farewell personal note to me "I have no doubt that our Governments will find ways to preserve the common front which is so important as we face external threats." I am sure Mr. Dulles is genuinely sincere in his desire for a common front but, on this visit to Japan, no doubt for reasons of United States domestic politics, he showed little readiness to meet our point of view or even to appreciate the arguments of political expediency in relation to Japan with which it was supported.

9. As regards rearmament, the other question on which it was expected Mr. Dulles would press the Japanese Government, a number of rumours have suggested that Mr. Yoshida was induced to give assurances about the creation of a Ministry for Defence and for a large increase in the National Police Reserve and the seagoing Coastguard Organisation. The latter, it seems, is indeed to be strengthened. I have no authentic information about a Ministry for Defence or an increase in the National Police Reserve nor do I know whether indeed such matters were discussed with Mr. Dulles, but although Japan's primary task is, as stated in the speech quoted above, the provision of "facilities," she will probably also be expected to contribute an increasing amount of manpower as a contribution to her self-defence.

10. Although, as regards Japan's relations with Formosa, Mr. Dulles failed to obtain all that he hoped for, he declared on his departure that his purpose had been accomplished and that he and the two senators had gained the information they required for the ratification discussion in the Senate. While I think that all three members of the party may retain some misgivings, I hope that what they saw and heard may encourage them to advocate early ratification of the two treaties as an objective which is more important, for the ultimate sake of Western relations with Japan, than anything else.

I am sending copies of this despatch to His Majesty's Ambassadors at Washington and Moscow, the Commissioner-General for the United Kingdom in South-East Asia at Singapore, the Governor of Hong Kong and His Majesty's Chargé d'Affaires in Peking.

I have, &c
M. E. DENING.

FJ 10338/1 No. 3

STALIN'S NEW YEAR MESSAGE TO THE JAPANESE PEOPLE

Sir A. Gascoigne to Mr. Eden (*Received 1st January, 1952*)

(No. 1) *Tokyo,*
(Telegraphic) *1st January, 1952.*

To-day's *Pravda* carries front-page message from Stalin to chief editor of Kyolo Agency, Kisi Iwamoto, Tokyo.

2. Stalin begins by acknowledging receipt of the latter's request to address a New Year message to the Japanese people, and continues " it is not traditional amongst Soviet statesmen for the Head of one State to address himself to the people of another with his good wishes. But the deep sympathy felt by the peoples of the Soviet Union towards the Japanese people in their present sorry state under foreign occupation compels me to make an exception to the rule, and to grant your request. Please convey to the people of Japan, that I wish them freedom and happiness, that I wish them all success in the manful struggle for the independence of their native land. The peoples of the Soviet Union have themselves experienced the horrors of a foreign occupation—an occupation in which the Japanese imperialists also played their part, therefore they fully understand the suffering of the Japanese people and deeply feel for them, and believe that they will achieve the revival and independence of their country in the same way as the peoples of the Soviet Union, in their time, achieved it. I wish the Japanese workers freedom from unemployment and low wages. I wish them the end of high prices on goods of everyday use and success in their struggle for the preservation of peace. I wish the Japanese peasants freedom from landlessness and the shortage of land, an end to high taxes and success in the struggle to preserve peace. I wish the whole Japanese people and their *intelligentsia* complete victory for the democratic forces of Japan, the revival and raising of the economic life of the country, the blossoming of national culture, science and art, and success in the struggle for the preservation of peace."

FJ 10310/31 No. 4

CONVERSATION BETWEEN THE SECRETARY OF STATE AND MR. ACHESON IN WASHINGTON ON 10th JANUARY, 1952

Japan's Relations with China

Present:

United Kingdom	*United States*
Secretary of State	Mr. Acheson
Sir Oliver Franks.	Mr. Dulles.
Mr Shuckburgh.	Mr. Perkins.
Mr Tomlinson.	Mr. Gifford.
	Mr. Allison.

Mr Acheson invited Mr. Dulles to explain the American position

Mr Dulles said his consistent objective throughout his work on the Japanese Peace Treaty had been to ensure the fullest possible understanding and agreement between the United States and United Kingdom He had had this objective very much in mind in working out a solution to the difficult problem of China in relation to the Japanese Peace Treaty.

Speaking purely personally he thought that in their general policies towards China neither the United States nor the United Kingdom had yet found the right answer He could not feel that either of the two countries would be satisfied to maintain their present policies indefinitely. It was perhaps, therefore, a mistake to think of Anglo-American relations in regard to China as though there were fixed positions on both sides. Mr. Dulles then gave a detailed account of various discussions he had had with United Kingdom representatives and with members of the Japanese Government on the subject of Japan's relations with China. He recalled that when he originally suggested in June 1951 that neither China should attend the Japanese Peace Conference and that Japan should be left to regulate her own relations with China in whatever way she saw fit Mr Attlee had objected to the proposal on the grounds that Japan would be certain to fall in line with the United States and enter into relations with the Chinese Nationalists. It was therefore clear that when the British Government eventually accepted Mr. Dulles's proposal they did so in the knowledge that the final result would inevitably be that Japan would choose a course which would harmonise with the policies of the United States Government. Mr. Dulles had, in fact, resisted the views of certain Senators who felt that Japan should at once conclude a treaty with the Chinese Nationalists, and no final commitment would be made until after the multilateral treaty came into force Whether the Chinese Nationalists would seek to make difficulties about arrangements with Japan limited to the area under their control remained to be seen. The Japanese might well have wished to follow United States policy and recognise Chiang as the Government of all China. Mr. Dulles had, however, recommended against this. He understood that there had been some feeling amongst the British that his activities in Japan were an infringement of the spirit of the Dulles–Morrison agreement. It had never been his understanding of this agreement that it would prevent Japan taking action which she deemed to be in her own interests. The facts of the present relationship between Japan and the United States were such that it was unthinkable that for some years to come the Japanese Government should pursue policies in conflict with those of the United States.

Mr. Dulles referred to the fact that he had now received a communication from the Japanese Prime Minister stating the intentions of the Japanese Government and that it would probably be necessary to make use of this during the Senate's consideration of the Peace Treaty with Japan. He felt that the action he had taken was the minimum necessary to lead to the desired result in the United States and at the same time retain the spirit of the Dulles–Morrison Agreement.

The Secretary of State said that he understood the American position. He had not, however, altered his own views and he could not agree that the course of action which the Americans felt compelled to pursue was wise in the circumstances. He still thought that the wisest course was that the Japanese Government should make no commitment until the coming into force of the

multilateral treaty of peace. *Mr. Acheson* said that he would like to elaborate on some of the points made by Mr. Dulles. The Chinese Nationalists had some strong cards in their hands since there were certain Senators who were very responsive to any appeal by Chiang Kai-shek. The votes of one-third of the Senate would be sufficient to obstruct the ratification of the Japanese Peace Treaty and unless at any rate some limited agreement between Japan and Formosa were under contemplation the Chinese Nationalists might be able to induce their Senatorial friends to advocate a course which would be embarrassing for us all. These Senators might press for postponement of ratification until the Senate could examine in detail the text of a proposed agreement between Japan and Formosa This would be bad enough but it would be even more distressing if they succeeded in attaching conditions to ratification, with the result that ratification would not become operative until after the signature of a treaty between Japan and Formosa. This would not only be bad for the United States but would confront the other signatories with a difficult problem

The Secretary of State said that he appreciated the domestic difficulties faced by the United States Administration. He adhered, however, to the view that it would have been better if nothing need have been done or said until after the coming into effect of the multilateral treaty. If he were questioned he would have to say that his view was unchanged, and that he had made this known to the Americans. He was, however, glad to know that in any case the Japanese would take no final action to conclude arrangements with China before the coming into force of the Japanese Peace Treaty. It made some difference that no final action would be taken until the Japanese had recovered their full liberty of action. He did not wish this to become a major issue between our two countries and he thought this could be avoided. He must not, however, be regarded as having acquiesced in this development.

Mr. Acheson said that Sir E. Dening would unquestionably be asked by Mr. Yoshida about the outcome of the Washington conversations. He hoped that Sir E. Dening would be instructed to say that while still maintaining our view, we should not disagree if the Japanese wish to pursue discussions with Formosa on the lines recently discussed by Mr. Dulles in Tokyo. *Mr. Eden* said that this presented difficulties and the line proposed by Mr. Acheson was further than he was prepared to go.

After some discussion it was agreed that the United Kingdom would prepare a draft setting out the line Sir E. Dening might take in replying to any questions by Mr. Yoshida, which would be discussed with the Americans before despatch.

FJ 1194/2 No. 5

THE PRACTICABILITY AND DESIRABILITY OF JAPANESE ACTION TO RECREATE THE JAPANESE ARMED FORCES

Sir E. Dening to Mr. Eden. (*Received 17th January*)

(No 6. Confidential) *Tokyo,*
Sir, *14th January*, 1952.

In his despatch No. 186 of 11th June, 1951, Mr. Clutton submitted to your predecessor some account of Japanese views regarding rearmament at that date. Since the time is now drawing near when the Japanese Peace Treaty will come into force, and Japan will become once again a sovereign State, it seems to me desirable that we should once again consider the question and try to clear our minds on the subject. Whereas public opinion in the world at large is conscious of the fact that the Japanese Peace Treaty sets no limitation upon Japanese rearmament, there seems to be a great deal of confusion of thought as to both the practicability and desirability of action by Japan to recreate her armed forces. It is the purpose of this despatch to examine these two aspects of the question.

2. In the three enclosures(1) my service advisers have set forth the possibilities in respect of the three armed services. Their reports raise immediately the question of Japan's economic and financial capacity to rearm even to the extent envisaged. As to this Japan's capacity in heavy industries was by no means crippled during the war, and, although much of the plant is old-fashioned

(1) Not printed.

9 Another field in which the Japanese Communist Party may be able to reap a valuable harvest is in an appeal to the historical Japanese desire for Asian unity and a revival of Asian power against the Western world. But Moscow and Peking will have to tread warily in encouraging such a tendency, for to the Japanese mind Asian unity means an Asia united and dominated by Japan.

10 More dangerous still from our point of view is, of course, the appeal to Japanese nationalism It has been an axiom to us that in Asia healthy nationalism is one of the best answers to the Communist threat, but Japanese nationalism is a force to which the free world has no attractions to offer and of which it is rather distrustful The Communists are no doubt well aware of this and may be expected to employ their usual tactics of exploiting nationalism in order to seize power. From the point of view of China and Russia it is true that there is a certain danger in giving Japanese nationalism too much scope since it would in certain circumstances develop into fascism or Titoism, but of one thing we can be certain and that is that the capture of Japanese nationalism by communism would be wholly unfavourable to us.

11. It is in this context of nationalism that we of the West will be well advised to exercise the greatest care. The Yoshida letter of 24th December about recognition of China, so clearly dictated by the United States, is a case in point, for it offers at once a threat to Japanese nationalism and a weapon for the Communist Party. The United States-Japan Security Pact, if not handled with kid gloves, may produce similar results. We, for our part, must be careful not to appear to be denying Japanese economy the right to exist

12. The conclusion which I and my my advisers have reached is that the New Programme as a Communist programme pure and simple has at present only a limited appeal and contains technical defects which would militate against its success. As an incitement to anti-American nationalism, however, it is potentially extremely dangerous and great tact and self-restraint on the part of the United States will be required to frustrate the objectives which it seeks Viewed in a wider perspective it may in the long run lead to a revival of a Japanese-led pan-Asiatic movement. This may prove to be contrary to the interests of China and Russia but it would also do great harm to the Western Powers. The progress of the New Programme will therefore merit very careful watching and in particular it would seem most desirable to ensure that our American friends are fully aware of its possible implications.

I am sending copies of this despatch to His Majesty's Representative at Washington, Moscow and Peking, the Commissioner-General for the United Kingdom in South-East Asia at Singapore and the Governor of Hong Kong.

I have, &c.

ESLER DENING.

FJ 10310/38 No. 8

FUTURE CONSEQUENCES OF THE JAPANESE DECISION TO ENTER INTO RELATIONS WITH THE CHINESE NATIONALISTS

Sir E. Dening to Mr. Eden (*Received* 31*st January*)

(No. 15. Confidential) *Tokyo,*
Sir, *28th January*, 1952.

I attempt in this despatch to estimate the consequences of the action taken by the United States in persuading the Japanese Prime Minister to publish his letter of 24th December expressing the readiness of Japan to conclude a treaty with Chiang Kai-shek and to have no dealings with the Communist régime in China. It is true that this estimate can only be a matter of conjecture based upon experience. But I hope I do not exaggerate when I express the opinion that this American action is something which we shall all have cause to regret in the future, and not least the Americans themselves.

2. The consequences of this step are likely to be felt, first, in the Japanese internal political situation, secondly, in the Far Eastern situation generally and lastly in the Korean conflict. All these are, of course, to some extent inter-related.

3. There can be little doubt that the position of the Prime Minister will be much weakened by the action which he felt compelled to take. It is common knowledge that he did not consult his Cabinet colleagues before reaching the decision to

publish the letter and that he merely told them just before the event. The odium of having given way to what is generally regarded as American dictation must therefore fall upon him personally, and his political stature must be judged to have shrunk. He has undoubtedly displayed considerable ineptitude in the handling of this affair from the outset. The situation might never have arisen if he had not given utterance to indiscreet statements in the Diet when ratification of the Peace Treaty was being debated Subsequently he took the stand that Japan could not take any action in regard to China in the absence of Anglo-American agreement Though this may have been regarded, particularly by the Americans, as a mere evasion of the issue, it would probably have had a good deal of support in Japan But Mr Yoshida then abandoned this attitude and adopted a policy which no Japanese regards as in Japan's best interests without any public explanation of the reasons which led him to make such a decision Such reputation as he possessed has undoubtedly suffered as a result.

4. The session of the Diet which has now been resumed may well prove to be a stormy one, though it is possible that the full weight of any attack upon Mr Yoshida will not develop until the United States Senate has ratified the treaty. But there is a fair prospect that the Diet will still be in session when the treaty comes into force and Japan becomes fully sovereign, and it may well be that thereafter there will be less restraint in attacking Mr. Yoshida and his Administration In all the circumstances, he would probably be wise in his own interests to resign at that stage and to disappear from politics But Mr Yoshida has not shown himself to be very wise, and there is no knowing what he will do. If he goes, the average Japanese will probably take the view that Mr. Yoshida did what he did in order not to jeopardise the Peace Treaty, and that by resigning he accepted responsibility in the best Japanese tradition; in fact, that he was a true patriot. If he stays, however, the view may be very different once the treaty is in force

5. The fact is, however, that the Americans by their action have weakened the very Government which they have pronounced themselves as supporting. The stigma of being a lackey of the Americans is one which will attach increasingly to any Japanese politician who can be shown to have accepted American dictation. A weapon has been put in the hands of the reactionaries, whether of the Right or Left, and it is by no means certain that the present form of government will survive the unpopularity it will incur if it is compelled to succumb to American pressure to the extent of adopting policies which are not in Japan's interests I warned Mr. Dulles in December of the danger of weakening the Japanese Government in this way, but what I had to say apparently fell on deaf ears.

6 The effect upon China of the Yoshida letter may in the short term be worse than in Japan. For it has always seemed to me that Japan is a much more serious issue with China than it is with Russia. It has surely been significant in recent months that such conciliatory gestures as there have been towards Japan have come from Russia and not from China. As far as one is able to judge, China's main fear has been the building up of Japan by the United States to a point where the former can once again become a serious rival in the Far East. The public alignment of Japan on the question of China with the United States by the Yoshida letter can only serve to strengthen China's fears and to confirm her in the view which she has consistently and publicly expressed. Mr. Yoshida's dream of Japan acting as a bridge between Communist China and the free world has vanished, and seems most unlikely ever to become a reality. I think all Japanese as a result of the Yoshida letter view the future of Japan's relations with China with considerable misgiving, and not without reason. I consider that the general outlook in the Far East is more serious as a result of the United States action, and it is difficult to see that any remedy can now be applied.

7. It is possible also that the Yoshida letter will have an adverse effect upon the Korean armistice negotiations. If we accept that China has always been profoundly and genuinely distrustful of United States intentions, the letter can only have heightened such distrust. If China should regard it as further evidence that the United States is busily engaged in building up a hostile front with the intention of bringing about the downfall of the present régime in Peking, it seems to me that her views about the desirability of an armistice in Korea might change, and that a prolongation of the conflict might seem the better alternative While Japan was, so to speak, suspended between the two Chinas there may have been some inducement for the Peking Government to exercise moderation in the

hope of ultimately drawing Japan into her orbit. The Yoshida letter can surely only have the result of cementing the Sino-Soviet Treaty of 14th February, 1950. China may now consider that the first sentence of article 1 of that treaty is applicable to the present situation, and may seek further Russian military assistance with a view to resuming the offensive in Korea. It appears that the view is beginning to be held in General Headquarters in Tokyo that the Chinese no longer want an armistice. I hope this may prove to be wrong, and that my conjectures as to Chinese reasoning are faulty. At the same time, the Yoshida letter will hardly dispose China to be more conciliatory in the Korean armistice negotiations, and if in the event they do make concessions to break the present deadlock, they must want an armistice more than we had supposed.

8 At the end of my despatch No. 373 of 26th November I expressed some confidence about the future. That confidence is unlikely to be justified if the free world is to witness further unilateral action by the United States in respect of Japan which can only lead to a steady deterioration in the situation.

9 I am sending copies of this despatch to His Majesty's Ambassadors at Washington and Moscow, His Majesty's Chargé d'Affaires at Peking, and the Commissioner-General for His Majesty's Government in the United Kingdom in South-East Asia at Singapore

I have, &c.
M E DENING.

P S.—Since I drafted this despatch last week press reports have appeared saying that *Pravda* has announced in Moscow that Russia would fight beside China if ever it was felt that China "was being attacked by the Japanese or by any forces allied with the Japanese." It appears therefore that the Yoshida letter has already had the effect which I forecast in paragraph 7 above.

M. E D.

FJ 1011/1

No. 9

JAPAN: ANNUAL REVIEW FOR 1951

Sir E. Dening to Mr. Eden. (*Received 11th February*)

(No. 20. Confidential) *Tokyo,*
Sir, *4th February,* 1952.

I have the honour to forward to you herewith the annual review of events in Japan for the year 1951. For this I am indebted to Mr. G. L. Clutton, who was in charge of this mission for the greater part of the year.

I am sending copies of this despatch to His Majesty's representatives at Hong Kong, Washington, Moscow and Singapore.

I have, &c.
ESLER DENING.

Enclosure in No. 9

Japan 1951

For good or for ill the year 1951 will always be remembered in Japan as that in which the Japanese Peace Treaty was signed. As for the world in general the year marks the beginning of the re-emergence of Japan as an active as distinct from a passive factor in Far Eastern affairs. As a result of successive relaxations of occupation controls, the policies of the Powers towards Japan ceased to be a mere facet of their relations with the United States and Japan herself became a force of which account had to be taken

2 To the casual onlooker the beginning of the year might have appeared less than propitious for the conclusion of a peace treaty. The United Nations forces in Korea had suffered a resounding defeat at the hands of the Chinese and they were still retreating and no-one knew where the retreat would stop. Many observers were indeed inclined to think that any plans for an early treaty must be postponed until American minds were less preoccupied with the immediate military situation. In fact, however, the military defeat in Korea made the immediate conclusion of peace with Japan imperative if the American position in Japan was to be maintained. A feeling of unease and uncertainty had spread over the country and while the Japanese people had certainly not lost their faith in the ultimate invincibility of the United States, the reverses suffered by the latter's arms in Korea had given the Japanese a sense of

by the unaccustomed part which they now have to play. The recent visit to Europe of Marquess Matsudaira, the Grand Master of Ceremonies, will no doubt help to define the functions, duties and prerogatives of constitutional monarchy, but the rôle of the monarch in the Japan of tomorrow is likely to remain obscure for some time to come

I have, &c.

ESLER DENING

FJ 10310/79 No. 20

BILATERAL PEACE TREATY BETWEEN JAPAN AND NATIONALIST CHINA

Consul Jacobs-Larkcom to Mr. Eden. (Received 19th May)

(No. 22. Confidential) *Tamsui,*
Sir, *7th May, 1952*

I have the honour to refer to my despatch No 16 of 7th April, 1952, on the subject of the bilateral peace treaty between Japan and Nationalist China. The signature of this treaty on 28th April enables me to bring the account of the negotiations to a conclusion. Copies of the authentic text have already been forwarded under my letter No. 873 of 30th April to China and Korea Department. A diary of events between 4th and 28th April is attached as Annexure " A "(1) to this despatch, some brief comments on the treaty, article by article, are given at Annexure " B "(1), and Dr. George Yeh's statement following the signing ceremony, is reproduced at Annexure " C "(1)

2 After negotiations extending over sixty-seven days and much hard bargaining, the plenipotentiaries, Dr George Yeh and Mr Isao Kawada, signed the bilateral treaty in Taipei at 3·15 p.m. local time on 28th April, just seven-and-a-quarter hours before Japan regained her status as a sovereign nation through the formal deposition in Washington of the United States Government's ratification of the multilateral treaty. The ceremony took place before about 200 of the leading Nationalist officials, but President Chiang Kai-shek did not himself attend. Contrary to the usual practice, however, the diplomatic corps were not invited to be present.

3. In general, the treaty is an abridged and simplified version of its San Francisco progenitor, adapted to meet the particular problems confronting Japan and Nationalist China in their mutual relationship. It consists of a preamble, fourteen articles, two exchanges of notes and four agreed minutes. The treaty proper and protocol are bound together in one volume, but the exchanges of notes and agreed minutes are each separate documents.

4. The treaty can generally be regarded as satisfactory, in that it ends the state of war between Japan and Nationalist China and provides a basis for the settlement of outstanding problems. In spite of periods of strained relations during the negotiations, a friendly atmosphere prevailed at the end, which should be helpful in reaching agreement on the matters deferred for later settlement. On the whole, the treaty is non-provocative, and this should ensure its ratification by the Japanese Diet without serious opposition. It should be noted that, according to Japanese practice, the exchanges of notes, but not the agreed minutes, must be tabled before the Diet. The necessity of submitting the controversial subject of " puppet régime " property to the Diet for approval is thus avoided. As Chiang Kai-shek has already approved the terms of settlement, it is not expected that the Legislative Yuan will raise difficulties on the Chinese side. Ratification by both sides is expected to be completed by the end of May.

5. The Japanese approached the negotiations with the intention of signing a limited treaty with the Nationalists as the regional authorities in control of Formosa, based on the Yoshida letter to Dulles, and—with reservations—on the San Francisco Treaty. The instructions to the delegation were to regard the Nationalists as " a Government " and not as " the Government of China." Following logically from this, they tried to steer clear of entanglement with problems arising out of their occupation of Manchuria and other parts of continental China which would tend to prejudice any trade or other " agreements " they might in future wish to make with the Central People's Government, and jeopardise ratification by the Diet. Lastly, their tactics and behaviour during the progress of the negotiations gave the appearance that they intended to protract the discussions until the San Francisco

(1) Not printed

Treaty became effective and they could sign the bilateral treaty as a sovereign Power. (This point is discussed more fully in paragraph 8 below.)

6. The Chinese approached the problem from a different angle. On the material side they demanded little beyond what they had already taken, and adhered to their proclaimed policy of a generous settlement with a defeated Japan. But they were more concerned with the moral factors, such as the recovery of their prestige and "national honour" after their failure to participate in the San Francisco Treaty, and the establishment of Japanese recognition of their position as one of the victor allied nations and of their sovereignty over the mainland. They also raked up old scores, as far back as the Mukden incident of 18th September, 1931.

7. As in most bargaining, the final result was a compromise, with the Chinese having gained, perhaps, rather more than the Japanese might have been expected to concede. They gained Japanese recognition of their status as one of the allied nations (with certain reservations), and a qualified recognition of their sovereignty over the mainland. They achieved signature before Japan regained her sovereignty. They won the day over civil air navigation rights and forced inclusion of the "puppet régime" property question, though admittedly the terms of settlement were vague and relegated to the sphere of an agreed minute. On the other hand, the Japanese successfully resisted the inclusion of any admission of liability in principle or payment in cash, kind or services, for reparations, and excluded all reference to the date of opening of hostilities. The above points are more fully discussed below and in Annexure "B."(1)

8. The timing of events so that signature took place on the same day but a few hours earlier than the effectuation of the multilateral treaty, is difficult to explain, in that it obviously lay within the power of the Japanese Government to prolong the negotiations the few extra hours necessary to allow them to sign as a sovereign Power. It seems almost as if, having demonstrated their power, they contemptuously made this last-minute concession to Chinese "face." That the Chinese attached great significance to the time of signature is proved by the indecent haste with which the preparations for the ceremony of signature were pushed forward, as soon as the Japanese Agreement was known. A satisfactory explanation would have been that the Japanese had played on Chinese sensitiveness as to the time of signature in order to win some substantial concession on the matters finally remaining in dispute. This explanation, however, is not tenable, since the gap at the end between the different points of view was very small. Possibly the Japanese merely wished to avoid the limelight and considered that the signing of the bilateral treaty would attract less notice in the world press if announced on the day when all eyes were focused on the recovery of her independence. Whilst any of the above explanations may be the true one the possibility of pure coincidence cannot be ruled out. In support of this, Mr. Kimura, the head of the Japanese Overseas Agency in Taipei, has assured me in informal conversations that the Japanese Government had no wish to protract negotiations until after the multilateral treaty became effective.

9. Whilst the treaty contains no specific acknowledgment of Nationalist sovereignty over the mainland, the Nationalists can claim at least a qualified recognition is implicit in certain articles of the treaty, notably articles IV and V of the treaty proper (somewhat surprisingly accepted by the Japanese without demur) and the second and third agreed minutes. It can reasonably be argued that Japan, by the acceptance of these articles, acknowledges the Nationalists as the lawful successors to previous Chinese Governments which were in control of the mainland. The formula in the first exchange of notes governing the scope of application may also be claimed as a qualified acknowledgment of Nationalist rights on the mainland. It is certainly unusual to include a provision in an open treaty (though admittedly not in the treaty proper or protocol), whereby one Power undertakes to apply the terms of the agreement to territory over which the other Power may subsequently gain control. Although the Chinese failed to obtain inclusion of a clause specifically acknowledging their sovereignty over the mainland they succeeded in establishing their claim to be treated as something more than a local régime.

10. The Japanese were adamant in their stand on reparations. They refused to consider payment of reparations for damage on Formosa, for which, they correctly argued, they could not be held responsible as it was caused by Allied action. They

(1) Not printed.

likewise refused even to discuss reparations in respect of damage on the mainland and successfully resisted the Chinese demand that a clause should be included, such as Article 14(*a*) of the San Francisco Treaty, admitting their liability in principle. In the end, the Chinese had to be satisfied with the implication of Japanese liability contained in their own waiver.

11. The solution of the difficult problem of Japanese property in Formosa has been shirked. Article III of the treaty proper provides for later settlement of this and other property questions. In fact, of course, all Japanese property in Formosa has already been confiscated by the Nationalists and the Japanese have no hope of recovery. The legal position is somewhat complex. Under Article 14 (*a*) 2 (*i*) of the San Francisco Treaty, Japan relinquished, with certain exceptions, all claim to her property in Allied countries, which term would include "China" The status of Formosa is, however, as yet undecided Japan has relinquished her claim to it but its final disposal has not yet been settled by the United Nations. The seizure of Japanese property in Formosa by the Nationalists has, therefore, no strict legal basis and many unfortunate repercussions result from this anomalous situation.

12. The Japanese cannot be absolved from the suspicion that they employed delaying tactics (see paragraphs 5 and 8 above). Through their need to ensure ratification in the American Senate they were, perhaps, forced to begin negotiations earlier than they wished. Whatever their real motive may have been, many of their actions during the progress of negotiations seemed calculated to delay settlement. For example, the initial argument over the title of the treaty dragged on for a fortnight Then a series of new and often trivial objections were raised as soon as the old problems were disposed of. And finally, there was the rejection on two occasions, by the Japanese Government, of the terms agreed by their plenipotentiary.

13. The Nationalists were extremely tenacious in their claim to be regarded as one of the Allied nations and for equal treatment with them. The Japanese resisted this claim strongly but finally gave way, and Nationalist rights are clearly established in Article XI of the treaty proper and paragraphs 1(*a*) and 2(*a*) and (*b*) of the protocol.

14. Comment in Taipei by prominent Chinese and in the press has been generally favourable and can be summed up in the words of the chairman of the Legislative Yuan, Chang Tao-fan, that it is the "best obtainable in the existing situation."

15. In conclusion, the treaty has enabled normal relations to be resumed between Japan and Formosa and paves the way for the settlement of outstanding problems These are many and formidable and include, in addition to those reserved in the treaty for later settlement, such matters as immigration, residence and travel of Japanese businessmen, claims by Formosans in respect of war-time requisitions, insurance premiums frozen after the outbreak of war, losses through depreciation of currency, &c.. There are also problems in connexion with the position of Formosans resident in Japan. It will be interesting to watch the progress of negotiations on these matters, now that Japan has regained her sovereign status.

I have, &c.

E. H. JACOBS-LARKCOM.

FJ 10310/78 No. 21

SIGNATURE OF A PEACE TREATY BETWEEN THE JAPANESE AND CHINESE NATIONALIST GOVERNMENTS

Sir E Dening to Mr. Eden. (Received 19th May)

(No. 130 Confidential) *Tokyo,*
Sir, *12th May, 1952.*

The negotiations begun at Taipeh in the middle of February between representatives of the Japanese and Chinese Nationalist Governments were concluded by the signature on 28th April of a Treaty of Peace, with attached Protocol, the text of which, as published in the Japanese press on 29th April, was enclosed in the Head of Chancery's letter 1030/101/52 of 6th May. On the same date two sets of letters were exchanged between the chief delegates. In one of these the Japanese Government confirmed that the terms of the treaty "shall in respect of the Republic of China be applicable to all the territories which are now, or which may hereafter be, under the

control of its Government." In the other the Japanese Government confirmed that pending the conclusion of the agreement on civil aviation provided for in the treaty, Japan would give to the Republic of China the same benefits as regards civil aviation as those she agreed to give to the Allied Powers under article 13 of the Japanese Peace Treaty

2. The Japanese Government's undertaking to conclude a treaty with Chiang Kai Shek, given in Mr. Yoshida's letter of 24th December, was thus fulfilled a few hours before Japan ceased to be an occupied country. The final act was completed when public attention both in Japan and elsewhere was diverted by events connected with the coming into force of the San Francisco Peace Treaty and in Japan at least there has so far been no very marked reaction.

3. The delays and vicissitudes in the negotiation of this treaty have already been reported. Until the last moment the Japanese seemed to be in no haste, and part at least of the delay was no doubt due to Mr. Yoshida's desire to show the Americans that while circumstances made it imperative for him to do their bidding, he could take his time about it. A report in the Asahi on 14th April said that the delay was due to Mr. Yoshida's desire " to give special consideration to the position of Great Britain," but although there is no doubt that the reaction in the United Kingdom to the " Yoshida letter " has caused the Japanese no little concern, this isolated report is the only indication there has been in Japan that the protraction of the negotiations was in any way due to a Japanese desire to spare British susceptibilities.

4. Viewed from the immediate prospect the treaty is a considerable success for the Japanese. They were able to avoid in the treaty itself reference to the most controversial issue—the territories " which may hereafter be under the control of the Nationalist Government "—and this was dealt with by an exchange of letters which significantly have not been published in Japan. Thus to some extent the Japanese have been able to avoid public acknowledgement to their own people of their acceptance of Mr. Dulles's dictation. Also under article 3 they have managed not only to avoid being pinned down on the question of payment of reparations but have succeeded in writing into the treaty their own claims in Formosa and the Pescadores as a subject for future negotiation on the same basis as the Chinese claims against Japan. When one considers the total abandonment of her assets abroad which Japan accepted under the San Francisco Treaty, the wresting of this concession from the Nationalist Government of China must at least be regarded as a considerable diplomatic victory, and it is safe to say that having obtained this agreement in principle the Japanese will bargain hard and long when it comes to settling specific cases

5. Further, under the terms of the protocol Japan is absolved from supplying to the Republic of China any of those services in lieu of reparations which the Allied Powers signatory to the San Francisco Treaty may claim under article 4 (*a*) of that treaty, she is absolved, in respect of Nationalist China, from the terms of article 11 of the San Francisco Treaty concerning war criminals, and she has succeeded in escaping the liabilities incurred under article 18 of the San Francisco Treaty for the settlement of pre-war pecuniary debts arising out of private and public obligations and contracts

6. On the face of things therefore Japan might well congratulate herself. But there is a reverse side to the medal. In my despatch No 15 of 28th January I discussed the probable effect of the " Yoshida letter " and of the policy toward China which it inaugurated. Whatever immediate gains this treaty may bring to Japan they affect only a small corner of Chinese territory and are bought at the expense of ensuring the alienation of the Central People's Government and the whole Chinese mainland. It is of course arguable that as long as Japan remains opposed to communism and friendly to the Western Powers the alienation of that Government is in any case inevitable, but it is also arguable that had Japan not been led to provoke them, a reasonable *modus vivendi* with the Chinese might have been arranged. Of this there now appears no possibility.

7. Because, as stated above, the signature of this treaty coincided with other events of more immediate moment, the Japanese press and informed public opinion have not yet had time to devote themselves to a detailed study, and there are at present no pointers as to the attitude which the Diet will take when the treaty is submitted for ratification. In my despatch No. 15 I stated that since at the time of the Yoshida letter Japan was still under occupation, too forthright a criticism of Mr. Yoshida in the Diet might be avoided lest it be construed as criticism of the United States. At present Japan is sovereign and beginning to speak

her mind. The debate in the Diet may therefore show whether the apparent unconcern with which Mr. Yoshida has dealt with Japan's relations with her Chinese neighbour is shared by his fellow countrymen.

I am sending copies of this despatch to Her Majesty's Ambassadors at Washington and Moscow, Her Majesty's Charge d'Affaires at Peking, the Commissioner-General for the United Kingdom in South-East Asia, his Excellency the Governor of Hong Kong and Her Majesty's Consulate at Tamsui

I have, &c.
M. E DENING

FJ 1016/22 No. 22

USE OF VIOLENCE BY THE JAPANESE COMMUNIST PARTY TO ATTAIN ITS ULTIMATE ENDS

Sir E Dening to Mr. Eden. (*Received 19th May*)

(No (S) 133. Confidential) *Tokyo,*
Sir, *13th May, 1952.*

In my despatch No 9 of 19th January I tried to estimate the prospects of the Japanese Communist Party. The May Day riots in Tokyo, which received somewhat exaggerated attention in the world press, make it desirable to consider to what extent violence is likely to be employed by the Communists as a part of their general strategy in the attainment of their ends in Japan.

2. As already reported in the despatch to which I have referred, the first indication that the Communist Party contemplated using violence was contained in the document entitled "We must prepare to arm and initiate action," which made its appearance in October 1951. This was followed on 22nd November by the publication of Issue No. 32 of the Communist "Foreign and Domestic Review" (Naigai Hyoron), published under the covert title of "Bulb Cultivation Methods." It was, in fact, a comprehensive handbook on violence against the National Police Reserve and the civil police Issue No. 96 of the party organ "Peace and Independence," dated 31st January, 1952, contained an article which reiterated the policy document of the previous October and called for the formation of "nuclear self-defence units" in factories and schools.

3. The exact connexion between these documents and what followed is not clear, but the Communist Party began in recent months to send threatening letters to the police, to hustle individual policemen on duty and snatch their pistols and notebooks, and in some cases actually did them violence. There were also reports that the party was carrying out guerilla training in the mountains and was forming semi-military units within its underground organisations. Outward manifestations during this period were the murder on 21st January of the Chief of the Guards Section of the Sapporo Police (for which two Communists have been arrested), the disturbances which took place throughout the country on 21st February, "Anti-Colonisation Day," the raid on an alleged Communist hide-out in the mountains near Tokyo on 29th March, and the May Day riots. There have also been an increasing number of incidents in which police have been beaten up by students or hooligans, though the precise connexion with the Communist Party is not clear

4. Direct proof of the instigation of the May Day riots by the Japanese Communist Party is also not available. But there are pointers in that direction. The May Day rally of labour unions in the Meiji Park was a perfectly respectable labour demonstration. The actual party which instigated and took part in acts of violence in the heart of Tokyo was small and was composed of Left-wing radical students of the "Students' Self-Government Association" (a recognised Communist front organisation), Koreans and casual labourers. The fact that they were armed with clubs, sticks and home-made fire-bombs and were well supplied with stones, suggest that their action was both premeditated and planned, and it may well be that the Japanese Communist Party deliberately instigated, if they did not actually direct, the action which followed. There is evidence that there were some Communist medical units among the mob, who were well organised to administer first-aid and were very mobile. A Mrs. Fujikawa, a German by birth and a confirmed Communist, was photographed on the scene of the riot exhorting the mob.

co-operation between equals for their mutual good. It also means that the resumption of official, business and personal contacts between the Japanese and these peoples can be most wisely accomplished slowly and gradually step by step. During my days in Japan I have explained this candidly to many of those whom I have met, and have had very helpful informal discussions with them on the subject. The peoples of Singapore, Malaya and other territories are glad that the Japanese Peace Treaty has been signed and that Japan is again a member of the family of free, sovereign nations. They appreciate that this development is good, and that it is a step towards friendliness and peace between all nations. They recognise that trade in particular between Japan and them can be mutually beneficial, and they look forward to a steady two-way expansion of that trade. It can contribute considerably to maintaining and improving the standards of living of all the populations concerned. A slow resumption of official and personal contacts between them does not mean that trade between the two regions need be checked, on the contrary it can be developed. An increasing mutual exchange of goods is already being conducted by other normal means. According to the official Malayan figures for the balance of trade in 1948 Japan's imports from Singapore and Malaya were worth 19,700,000 Malayan dollars and her exports to them were valued at 13,200,000 Malayan dollars. Since then that trade has grown each year until last year the comparable figures were 157,000,000 and 243,700,000 Malayan dollars respectively, whilst in the first four months of this year they were 53,000,000 and 112,500,000 Malayan dollars (a Malayan dollar is worth rather more than 100 yen). In fact these territories in South-East Asia were now buying more than twice as much from Japan as Japan is buying from them. That is one reason why we have had to set limits on certain Japanese imports into them, for a difficult balance of payments situation arose. One means, therefore, of stimulating a further expansion of trade, and indeed of avoiding any further contraction, is for Japan to purchase more goods from Singapore and Malaya. With regard to imports, the Singapore and Malayan authorities have, of course, to safeguard the interests, both of local business firms and of Britain's export trade. But we believe that there is ample room for a steady growth of two-way trade with Japan without any prejudice to those interests and that this will make a valuable contribution to prosperity, security and peace throughout the region. I am grateful to all those whom I have met in Japan for the candid friendliness of our talks which have, I believe, increased our mutual understanding of our common problems."

FJ 1633/24 No. 30

JAPANESE POLICY IN THE FAR EAST

Conversation between Her Majesty's Ambassador, Mr. MacDonald, and the Japanese Prime Minister

Sir E. Dening to Mr. Eden. (Received 15th July)

(No. 190. Confidential) *Tokyo,*
Sir, *10th July, 1952.*

With reference to my despatch No. 189 of 10th July, in the course of my stay with Mr. MacDonald at Hakone, I found myself for a time after dinner alone with the Prime Minister. He had asked his daughter and son-in-law, Mr. and Mrs. Jiro Shirasu, Count Kabayama (father of Mrs. Shirasu), and Mr. Shigeru Matsumoto, a journalist friend of Mr. MacDonald's (the Prime Minister told us that he intended to appoint Mr. Matsumoto to be Japan's delegate to the United Nations) to meet us at dinner, and the party was unusually free and informal.

2. It was in this atmosphere that the Prime Minister told me that he wished to establish a basic policy of co-operation with the United Kingdom and the United States in the Far East and he hoped he could rely upon my help. Without such co-operation there could be no peace in the Far East, and he asked me what I thought. I said that the idea seemed to me a good one which we should develop, but when we came to practical aspects, the main difficulty arose over China. The Prime Minister at this stage admitted (for the first time to my knowledge) that his own ideas about China might be out of date. I went on to say there were

two aspects of the China situation: one was China itself and the other was Formosa. As for the latter our feeling was that there was no future in Chiang Kai-shek; he had merely a past. I said that our views on this were without personal rancour against Chiang Kai-shek, who had been great in his day. But we did not believe that Chiang Kai-shek could ever stage a comeback in China, and if anybody were to base their policy on such a supposition we believed it would be a profound mistake.

3. When we came to consider China, I said that we had to accept the facts. These were that China was now ruled by a Government which was 100 per cent. Communist and intended by every means in its power to consolidate a Communist régime in China. We should not under-estimate the capacity of the present Chinese Government to carry out this aim. In so far as it was a Communist Government, its aims and purposes appeared to be inimical to the free world, but I did not see that for the present we could do much about that, beyond trying to contain China if she attempted to erupt beyond her own borders, and I cited the Korean war as an example. The tension with China was unlikely to be lessened as long as Chinese were fighting in Korea, and the first requirement was thus for an armistice in Korea and the eventual withdrawal of Chinese forces. As to the future, it was difficult to prophesy. I reminded the Prime Minister that Russian and Chinese policies coincide for the present. If at some date in the future friction should develop between China and Russia, as to which there was no present sign, it was possible that China might look elsewhere and thus tend to modify her present attitude.

4. This conversation was resumed at a later stage when we were joined by Mr. MacDonald, Mr. Matsumoto and Mr. Shirasu, but before they appeared the Prime Minister referred to South-East Asia and said it was his intention to send representatives to the various South-East Asian countries, and to invite representatives from there to visit Japan, because he wanted to get a clearer picture of what was going on. He hoped that if representatives from South-East Asia came to Japan I would be willing to meet them, and I said I should be glad to do so.

5. When we were joined by the others, I reverted to the question of China, and Mr. MacDonald restated in similar terms what I had said about Chiang Kai-shek, adding that though there were some Kuomintang elements amongst the Chinese populations in South-East Asia, in general they no longer placed any faith in Chiang Kai-shek or the Nationalist Government in Formosa. In reply to a question by one of the Japanese, Mr. MacDonald said that when the Central People's Government was first established in China, it enjoyed a considerable measure of interest and respect amongst the Chinese populations of South-East Asia. This was partly because they were tired of the continued failures of the Nationalist Government and partly because nothing succeeds like success, and China had, as a result of the accession to power of the Communist Government, at last come to be regarded seriously by the rest of the world. But as time passed and stories began to filter through of the repressive actions of the Central People's Government, which in many cases affected the relatives and friends of overseas Chinese, opinion began to change, and though Communist elements existed amongst overseas Chinese, they were in the minority, and the Chinese generally were now against the Central People's Government. On the other hand, they no longer expected that the Nationalist Government could restore the situation.

6. At this stage Mr. Matsumoto referred to the recent visit of Mr. Ogata to Formosa, and asked what we thought of the idea of a union between Formosa and Japan: a sort of Japanese United Kingdom. Mr. MacDonald said that he thought this was a very dangerous idea since it would arouse keen opposition from many quarters, and we both said that we thought the Formosan question must be kept in cold storage. I thought this incident very significant in view of the suggestion contained in paragraph 15 of my despatch No. 136 of 20th May, and it strengthens the belief that, in establishing treaty relations with Chiang Kai-shek, the Japanese may have in mind a closer relationship with Formosa in the future when the generalissimo no longer has a rôle to play.

7. There was some discussion about trade with China, in the course of which I pointed out that even supposing there were no restrictions, the pattern of that trade was likely to be dictated by China and not by Japan. Mr. Shirasu and Mr. Matsumoto agreed with this and said that Peking radio in a recent broadcast confirmed what I had just said. Nevertheless, they indicated that, as we already knew, there is a strong desire in Japan to trade with China and

criticism of the Government for its failure to encourage such trade.

8. The conversation then turned to Japan, and I am reporting this in a separate despatch. Copies of this despatch are being sent to the Commissioner-General at Singapore, to the Governor of Hong Kong and to Her Majesty's Representatives at Washington and Peking.

I have, &c.

ESLER DENING.

FJ 1633/22

No. 31

VISIT OF MR. MACDONALD TO JAPAN

Sir E. Dening to Mr. Eden. (Received 15th July)

(No. 189. Confidential) *Tokyo,*
Sir, *10th July, 1952.*

I have the honour to report that Mr. MacDonald, Commissioner-General for the United Kingdom in South-East Asia, arrived at Haneda Airport on the evening of 29th June, where he was met by representatives of the Japanese Prime Minister and Foreign Minister. On the following day he paid courtesy calls on the Foreign Minister and subsequently on the Prime Minister. In agreement with me, Mr. MacDonald indicated to Mr. Okazaki that he had come prepared to discuss any subjects which the Japanese might like to raise with him. Mr. Okazaki was obviously gratified at this, and I think that it produced fruitful results. The Prime Minister was very cordial but, as usual on such occasions, he said little of importance. When we were discussing the prolongation of the Diet as a result of the filibustering tactics of the House of Councillors, however, Mr. Yoshida did indicate that he thought that the prolongation of the session which had resulted would bring the members into disrepute and lose them their popularity, a prospect which evidently gave him satisfaction.

2. On the evening of 30th June I gave a reception to which I had invited a number of Japanese to meet Mr. MacDonald, and on the following morning I accompanied him to the Palace for an audience with the Emperor which lasted some thirty minutes. Though nothing of importance was discussed, the Emperor was very cordial and obviously enjoyed his conversation with Mr. MacDonald. I gave a dinner the same evening for Mr. MacDonald to meet the American Ambassador and General and Mrs. Mark Clark, and our conversation was reported in my telegram No. 1110 of 2nd July.

3. On 2nd July Mr. MacDonald had a busy day which began with a call from the Foreign Minister who raised the question of Japanese Consulates in Malaya and Hong Kong. This has been reported separately. During the day Mr. MacDonald received representatives of the International Aluminium Company (who have interests in Malaya), visited a collection of Chinese porcelain owned by the Prime Minister's son-in-law, and had conversations, details of which are enclosed(1), with Japanese Right-wing Socialists at their request, and with some personal Japanese friends. In the evening I gave a dinner for the Prime Minister, the Foreign Minister and other distinguished Japanese.

4. On 3rd July at my request Mr. MacDonald addressed the embassy staff. Later I gave a small lunch for some officials of the Japanese Foreign Office and Ministry of International Trade and Industry, at which there was some useful conversation about South-East Asia and about rice. In the afternoon Mr. MacDonald visited the National Museum and later had conversations with Japanese businessmen, in particular a group which he saw at the personal request of the Foreign Minister. A short summary(1) of these conversations is also attached. We dined with the French Ambassador, and on the following day I arranged for Mr. MacDonald to proceed to the summer residence of the embassy at Chuzenji in order to enable him to see something of the Japanese countryside. I myself went there on 5th July and we returned to Tokyo on 7th July. On that day the Prime Minister had invited Mr. MacDonald and me to visit him at his country villa at Hakone and to spend the night in a little Japanese inn adjacent to it. On this occasion we had some interesting conversations which I am reporting separately.

5. We returned to Tokyo on 8th July, and Mr. MacDonald gave a press conference at the embassy at which he handed out a

(1) Not printed.